AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX

ANNUAL EXAMINATIONS (THEORY) 2024

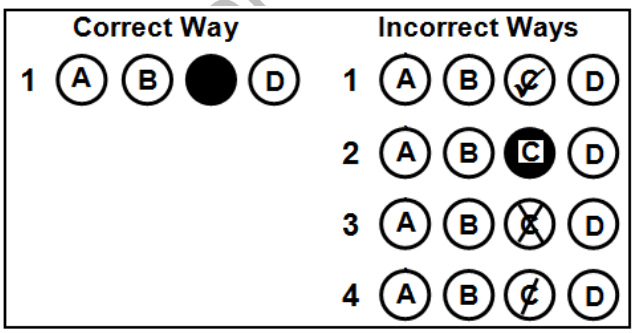
Business Studies Paper I

Time: 1 hour 10 minutes Marks: 40

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 40 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Alina has completed her graduation in software development. She has started her own software house and provides IT solutions to the corporate sector. She also offers analytical consultancy on software development and its applications.

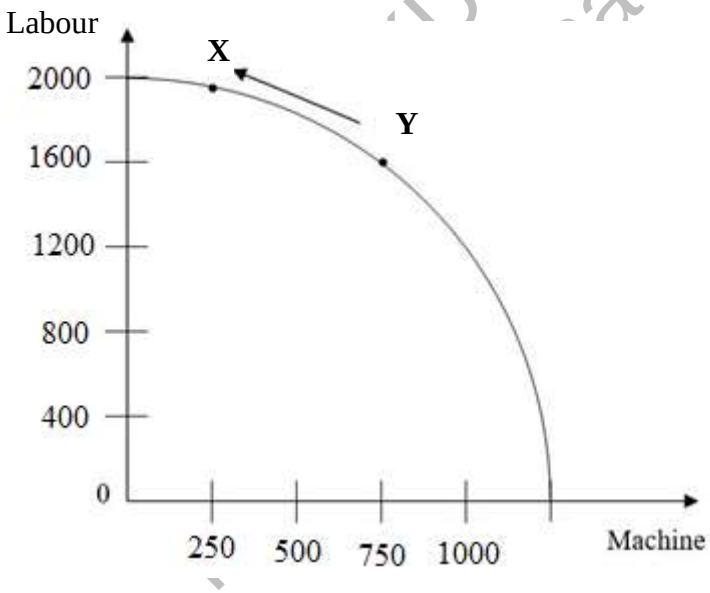
In the given scenario, the business activity is classified as

A. tertiary.
B. primary.
C. secondary.
D. quaternary.

2. The BEST example of a business cooperative is

A. D-Mart (supermarket).
B. DHL (a courier service).
C. Deewan group of companies.
D. DHA (defence housing authority).

3. If a business shifts his selection from **Y** to **X**, then his opportunity cost from the given graph would be



A. 2000 units of labour.
B. 1600 units of labour.
C. 500 units of machine.
D. 750 units of machine.

4. All of the following are the objectives of a non-economic activity EXCEPT

A. earning profit.
B. gaining goodwill.
C. serving the society.
D. facilitating the family members.

5. Which of the following is an advantage of a public company?

   A. Least secrecy
   B. Uncertain life
   C. Restricted size
   D. Limited liability

6. Haleema is an expert and a qualified chef. She is planning to buy a franchise of a famous food chain. She is planning this because she believes that

   A. it will be cheaper than setting her own new business.
   B. she will have complete control over important decisions.
   C. she can use her own name in advertisement of the business.
   D. the risk of failure is low as she is buying a well known business idea.

Use the given information to answer Q7. and Q8.

The given table shows the contribution made by different business activities in an economy.

Contribution	
Business Activities	**Amount (Rs)**
Communication and transport	800,000
Farming, forestry and fishing	900,000
Banking and finance	40,000
Manufacturing	600,000
Warehousing and Storage	150,000

7. From the given table, the total contribution of the primary sector can be computed as

   A. Rs 640,000
   B. Rs 790,000
   C. Rs 900,000
   D. Rs 950,000

8. From the given table, the total contribution of business activities in the secondary sector will amount to

   A. Rs 540,000
   B. Rs 600,000
   C. Rs 690,000
   D. Rs 750,000

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9. The Aman Foundation focuses on catalysing impactful solutions in health and education in Pakistan through direct interventions, convening powerful partnerships and advocating on behalf of the underserved people of Pakistan.

(Source: www.amanfoundation.org)

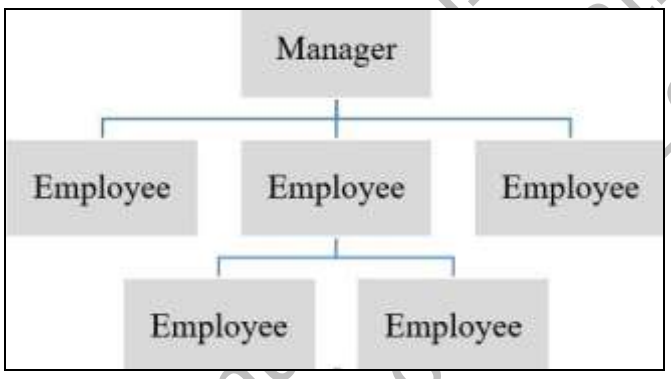
Based on the given information, the MAJOR objective of the organisation is to

A. generate profit.
B. expand its services internationally.
C. improve value addition services to clients.
D. provide social services across the country.

10. All of the following are considered as merits of an organisational chart EXCEPT that it

A. highlights the reporting structure.
B. assists in effective communication.
C. avoids conflicts among employees.
D. helps employees to understand the hierarchies.

11. The given organisational chart represents the



A. line managers.
B. chain of command.
C. wider span of control.
D. division of labour.

12. The difference between leaders and managers is that leaders

A control risk, whereas managers take risks.
B. give directions, whereas managers develop goals.
C. are change agents, whereas managers maintain the status quo.
D. rely on existing proven skills, whereas managers grow personally.

13. Suppose that in a business communication, a message is lost during its transmission.

This barrier of communication is due to

A. unclear feedback.
B. fault at sender's end.
C. fault at receiver's end.
D. ineffective medium of communication.

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14. All of the following are examples of a two-way communication in a business EXCEPT a/ an

A. interview of a shortlisted candidate.
B. telephonic conversation by a director.
C. speech by a board of trustee in an annual dinner.
D. orientation of a new employee by the human resource representative.

15. Which of the following statements is CORRECT for the levels of hierarchy?

A. It develops a sense of self-actualisation within an employee.
B. It outlines the line of authority and reporting within a business.
C. It defines the competency of an individual working in an organisation.
D. It shows the career paths and developmental prospects for an employee.

16. Shafaq, a 17-year girl, lives with her parents and two brothers of below 5 years of age. Her father is the bread-and-butter earner of the family. At the time of budgeting the family expenses, he consults Shafaq and her mother and takes decisions based on the consensus developed by them.

The leadership style of Shafaq's father is

A. autocratic.
B. dictatorial.
C. democratic.
D. laissez faire.

17. The management of a company has introduced a new organisational structure. This action has resulted in the cut down of several levels of hierarchy from the previous structure.

The long-term benefit of the new structure to the company would be that it will result in

A. more delegation.
B. easy decision making.
C. longer chain of command.
D. the redundancy of employees.

18. Fahad's web security business has expanded; he has assigned some tasks to his new employees. This has enabled Fahad to find more time to do the administrative work which he considers should be left to him. This helped the organisation to make progress and the employees' satisfaction level was also increased.

The given action of Fahad can be categorised as

A. delegation of responsibilities.
B. enhancement of job specification.
C. management of chains of commands.
D. decentralisation of management structures.

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19. All of the following are the internal sources of finance of a joint stock company EXCEPT for

A. reserves.
B. retained profit.
C. sale proceeds of assets.
D. receipts from share issue.

20. Which of the following is revenue expenditure?

A. Alpha Stores purchased furniture for a new office.
B. Beta Paper Works paid packaging charges for exporting goods.
C. Gamma Pharmaceuticals installed a refrigerating unit in their delivery truck.
D. X-ray Laborites Limited installed an equipment to classify different lab reports.

21. The amount of inventory (stock) that is written in the statement of financial position (balance sheet) of a business is the

A. inventory sold.
B. ending inventory.
C. opening inventory.
D. inventory purchased.

22. In the statement of financial position (balance sheet), bank overdraft is shown under

A. current asset.
B. current liability.
C. non-current asset.
D. non-current liability.

23. Read the following statements:

- It is a resource owned by the business.
- Its span of life is less than 1 year.

The component of statement of affairs (balance sheet) described in the given statements is a/ an

A. current asset.
B. intangible asset.
C. non-current asset.
D. short term liabilities.

24. Which of the following is shown in both income statement and statement of financial position (balance sheet)?

A. Discount allowed
B. Opening stock
C. Net profit
D. Drawings

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25. Following details have been extracted from the accounting details of the business as on December 31, 2023.

Account Title	Amount (Rs)
Sales revenue	900,000
Purchases	500,000
Inventory on January 01, 2023	190,000
Inventory on December 31, 2023	175,000

The amount of cost of sales for the year ended December 31, 2023 would be

A. Rs 385,000
B. Rs 415,000
C. Rs 485,000
D Rs 515,000

26. Ms Rida is the owner of a coffee shop. The following details are available about her business.

S.No.	Details	Amount (Rs)
1	Sales	500,000
2	Cost of Sales	350,000
3	Gross Profit	?
4	Operating expenses	?
5	Net Profit	40,000

The amount of operating expenses from the given table will be

A. Rs 110,000
B. Rs 150,000
C. Rs 350,000
D. Rs 500,000

27. The CORRECT difference between capital expenditure and revenue expenditure is that

	Capital Expenditure	Revenue Expenditure
A	it does not affect the earning capacity of an asset.	it increases the earning capacity of an asset.
B	it incurred at the time of acquiring or improving the asset.	it incurred during normal course of business.
C	it is repetitive/ recurring in nature.	it is non-repetitive/ non-recurring in nature.
D	it is shown as an expense in the income statement.	it is shown as an asset in the statement of financial position.

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28. Almas Traders produces goods in bulk quantity. They have received an order for producing 200 kg. The business maintains proper inventory system. The details of which are as under:

Material Required for the Received Order	Re-order Quantity
200 kg	80 kg

What would be the order quantity of Almas Traders in the given situation, if the material in hand is 90 kg?

A. 90 kg
B. 190 kg
C. 280 kg
D. 480 kg

29. Read the following merits and demerits of the methods of production.

Merits	Demerits
Economies of scales can be achieved as cost per unit will be low.	No customise product.
Automated assembly lines save time and money.	High initial set-up costs of automated assembly lines.
Quality systems can be built into the production at each stage.	Workers find work repetitive and boring.

The given merits and demerits are of

A. batch and process production.
B. flow and process production.
C. job and batch production.
D. job and flow production.

30. The KEY purpose of adopting lean production method by a business is to increase its

A. efficiency.
B. profitability.
C. productivity.
D. market share.

31. The method of production that is rigid and requires a huge amount of capital is known as

A. job production.
B. flow production.
C. batch production.
D. just-in-time production.

32. An educational institution can improve its academic productivity by increasing its

A. number of teachers.
B. number of students.
C. overall cost of the organisation.
D. overall results of the institution.

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33. Saleem is given the responsibility to draw a marketing plan for a departmental store as the overall market is growing rapidly. The store daily receives 50 walk-in customers with an average purchase of Rs 1,000. The store needs to increase the customers by 50% and purchases by 25%.

With reference to the given marketing objective, the task assigned to Saleem will be considered as the

A. global expansion objective.
B. pricing and promotion objective.
C. market share expansion objective.
D. branding and product specification objective.

34. While reducing the cost of sales to raise the sales revenue, without considering production efficiency, Zia Manufacturers did not consider the quality of their product's output.

The approach in the given situation focused by Zia Manufacturers is referred to as the

A. sales approach.
B. consumer approach.
C. marketing approach.
D. production approach.

35. Anna establishes a home-based business where she specialises in traditional desi food. The food items in the menu are set at low prices and she is giving free tasting samples to clients for introducing them to the dishes. She is aiming to get low returns but a high sales volume.

With reference to the product life cycle, the business phase in which Anna is operating is the

A. decline phase.
B. growth phase.
C. maturity phase.
D. introduction phase.

36. Amana designs jewellery and dresses for famous actors and actresses during award shows.

The type of market in which Amana operates is a/ an

A. niche market.
B. resource market.
C. industrial market.
D. consumer market.

37. A business offers a lower price for its new product during its initial phase.

The pricing strategy used by the business is known as

A. skimming pricing.
B. penetration pricing.
C. competitive pricing.
D. psychological pricing.

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38. Retailers normally sell goods on cash and credit both.

The reason due to which the retailers sell goods on credit is that they want to increase

A. retail cost.
B. production.
C. number of customers.
D. amount owed from buyers.

39. Price skimming is one of the pricing strategies adopted by a business.

The product that is MOST suitable for the given strategy is

A. bike
B. pizza.
C. laptop.
D. stationery.

40. Country X has announced a medical and food emergency, whereas Country Y is planning to provide these items as aid.

The MOST efficient mode of transportation that should be used by the government of Country Y would be

A. airways.
B. railways.
C. seaways.
D. roadways.

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END OF PAPER

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